PHA Procurement FAQ Sheet

SMALL PURCHASE PROCEDURES

Small purchases are the least constraining class of purchases. They are designed to offer the Public Housing Authorities (PHAs) flexibility in procurements that support day-to-day operations.

Types of Small Purchases

- **Micro-purchases:** Defined by federal regulations as having a maximum threshold of $10,000. (If state or local standards are more restrictive, they must be followed.) Micro-purchases may be awarded without securing multiple quotes, but prices must be verified as reasonable. A Contracting Officer's signature is required.
- **Small Purchases:** Defined by federal regulations as having a maximum threshold of $250,000. (State or local standards may be more restrictive.) PHAs must solicit quotes from at least three qualified sources, and the selection must be reported to all vendors. The Contracting Officer's evaluation may be informed by previous experience, knowledge of market conditions and/or past performance, or by conducting an Independent Cost Estimate.
- **Petty Cash:** Used for small one-time purchases. Consult with procurement and/or accounting to determine petty cash procedures. Track all purchases and keep receipts. Ensure that petty cash is reconciled and replenished when depleted.
- **Indefinite Delivery Contracts:** Also known as Blanket Purchase Agreements (BPAs), they are an efficient way for PHAs to make small purchases to satisfy recurring needs for goods and services. Vendors are selected through an Invitation to Bid (Chapter 6) or Request for Proposals or Request for Qualifications (Chapter 7).
- **Bid-splitting:** Is the unethical practice of artificially subdividing orders to stay within the cost limits of a micro-purchase or small purchase.
- **Purchase Orders:** These are considered a contract when purchased through a BPA. They should have the same clauses as any small purchase contract.

Points to Ponder

- For micro- purchases, document and save catalogue prices or other documentation of reasonability for 3 years from final payment.
- If considering factors (other (than price) they should be defined and ranked in the solicitation.
- If only one quote can be obtained, document the reason and& efforts to secure more. Keep all documents for 3 years after final payment.
- Be careful with petty cash. Never "borrow" from petty cash.
- Under a BPA, a vendor is procured to supply the PHA with goods up to a pre-procured limit in quantity or dollar amount.
- **Don't be tempted to split a bid to expedite a purchase!**